

Tentative Rulings for Department 501

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Tentative Ruling

Re: ***In Re: Imidacloprid Cases***
Superior Court Case No. 22JCCP05241

Hearing Date: August 20, 2026 (Dept. 501)

Motion: By Nutrien Ag. Solutions, Inc. and Loveland Products, Inc., to
Stay Proceedings Pending Appeal

Tentative Ruling:

To grant and stay all proceedings, including discovery, in these coordinated cases pending resolution of Nutrien Ag Solutions, Inc. and Loveland Products, Inc. (collectively, "Nutrien Defendants") appeal of the December 15, 2025 judgment. Trial currently set for October 26, 2026, is off calendar, and will be reset after the appeal is resolved.

Explanation:

Following trial of the *M.C. Watte Ranches v. Nutrien Ag Solutions* matter (the "M.C. Watte matter"), on December 15, 2025 the court entered judgment against Nutrien Defendants. Nutrien Defendants filed a notice of appeal of the judgment on February 13, 2026. All remaining matters in the coordinated proceedings that have not been dismissed, settled, or tried in the October 27, 2025 trial are set to be tried on October 26, 2026. Nutrien Defendants move to stay the upcoming trial pending resolution of the appeal. They rely on the automatic stay provision of Code of Civil Procedure section 916, subdivision (a), or alternatively seek a discretionary stay.

"[T]he perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matters embraced in the action and not affected by the judgment or order." (Code Civ. Proc., § 916, subd. (a).) As a result, "under section 916, the trial court is divested of subject matter jurisdiction over any matter embraced in or affected by the appeal during the pendency of that appeal." (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal. 4th 180, 197.)

The court disagrees with Nutrien Defendants' contention that the court is divested of jurisdiction from continuing with the coordinated proceedings pending the appeal. Though coordinated, the various proceedings are distinct lawsuits with differing parties. The *M.C. Watte* matter was severed from those matters set to go to trial in October of 2026. A final judgment was reached only in that matter and Nutrien Defendants' appeal applies only to that judgment. (Code Civ. Proc., § 9044.1, subd. (a)(1).) The only parties to the pending appeal are Nutrien Defendants, M.C. Watte, and Brian Watte Farms. Any decisions in upcoming trial will not affect this judgment, and will not "enforce, vacate, or modify the appealed judgment." (See *Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 189.)

However, the court finds that a discretionary stay is warranted. Trial courts are authorized to enter a discretionary stay of proceedings during the pendency of an appeal. (*Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1039.) “[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants. (*Landis v. N. Am. Co.* (1936) 299 U.S. 248, 255.) The court “must weigh competing interests and maintain an even balance.” (*Id.*)

There are two primary issues raised in the appeal that have bearing on the remaining actions to be tried. First is Nutrien Defendants’ argument that the grower plaintiffs’ damages are purely economic losses, unrecoverable in tort. This argument is based on the fact that Imidacloprid was deliberately added to the pistachio trees at issue to protect them from insects, and that there was no allegation that the chemical went anywhere other than where it was supposed to go. Nutrien Defendants therefore argued that the mere presence of chemical residue in quantities above what is desirable when the pistachios are harvested does not transform into a physical injury. This same argument is raised by Nutrien Defendants as well as by other defendants with respect to the claims brought by Horizon Nut and each of the growers. While this court held that the economic loss rule did not preclude tort claims in this case, a contrary ruling by the Court of Appeals would have a significant impact on the cases yet-to-be-tried. The oppositions do not dispute this conclusion.

The second issue is the this Court’s determination that the Horizon Parties had no obligation to pay M.C. Watte Ranches (“M.C. Watte”) or Brian Watte, dba Brian Watte Farms, (“BWF”) as the growers had breached the relevant agreements. The court’s determination that the Horizon Parties did not owe anything for the pistachios they determined to have residue levels over the MRL (the maximum residue level set by the EPA) is a key issue in Nutrien Defendants’ pending appeal. It could also be dispositive of certain claims set for trial in October. The Court’s conclusion as a matter of law that Horizon Nut and Horizon Growers did not breach their contractual obligations to M.C. Watte or BWF is an interlocutory ruling merged into the final judgment being appealed. (*Dail v. Campbell* (1961) 191 Cal.App.2d 416, 420.) That determination by this court, now on appeal, affects Nutrien Defendants’ remaining equitable indemnity claim against Horizon Nut and Joel Perkins for tortious interference with contract.

While the court is confident in its conclusions and rulings on the above issues, these are nonetheless difficult legal issues. A stay would serve the interests of justice by avoiding the burden of a lengthy and expensive trial that might ultimately be unnecessary, or narrowed significantly in scope, depending on how the Court of Appeal resolves the matter.

The court does not find the oppositions’ claims of prejudice to be persuasive. The oppositions claim that a stay will increase litigation costs and increase the danger

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order adopting this tentative ruling will serve as the order of the court and service by the clerk will constitute notice of the order.

Issued By: KCK on 08/17/26
(Judge's initials) (Date)